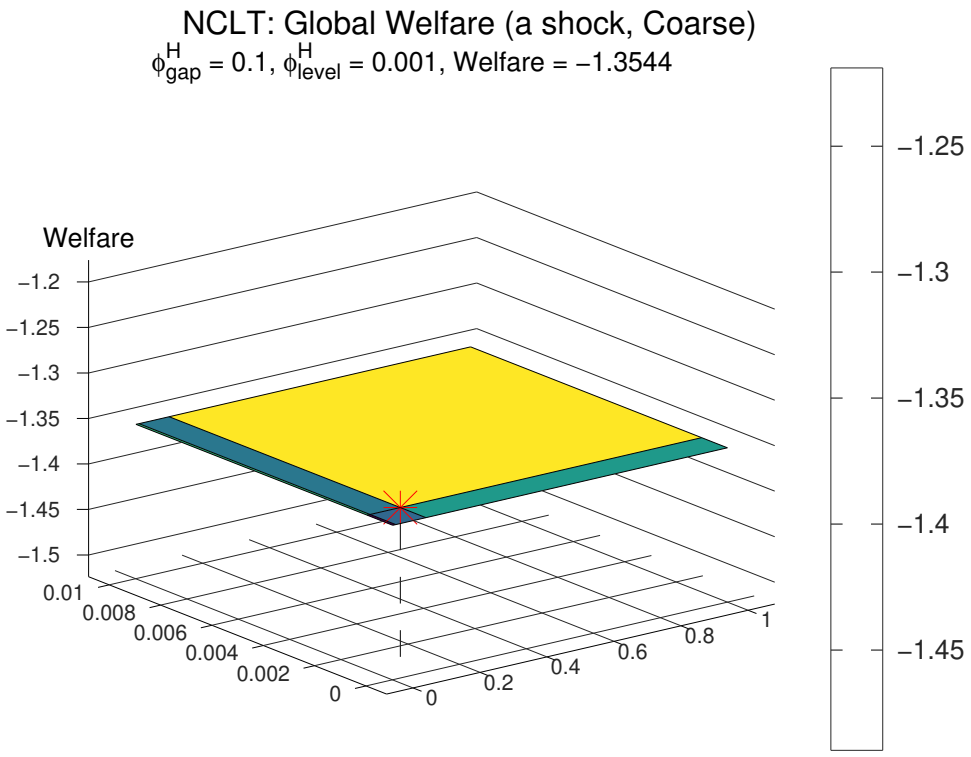
NCLT: Global Welfare (a shock, Coarse)
ϕ^H_{gap} = 0.1, ϕ^H_{level} = 0.001, Welfare = −1.3544
Welfare
−1.2
−1.25
−1.3
−1.35
−1.4
−1.45
−1.5
0.01
0.008
0.006
0.004
0.002
0
0
0.2
0.4
0.6
0.8
1
−1.25
−1.3
−1.35
−1.4
−1.45